



General Assembly

February Session, 2026

Raised Bill No. 5444

LCO No. 1307



Referred to Committee on FINANCE, REVENUE AND
BONDING

Introduced by:
(FIN)

***AN ACT CONCERNING THE INDEXING OF CERTAIN PERSONAL
INCOME TAX THRESHOLDS AND EXEMPTION AMOUNTS.***

Be it enacted by the Senate and House of Representatives in General
Assembly convened:

1 Section 1. Subsection (a) of section 12-700 of the general statutes is
2 repealed and the following is substituted in lieu thereof (*Effective October*
3 *1, 2026*):

4 (a) There is hereby imposed on the Connecticut taxable income of
5 each resident of this state a tax:

6 (1) At the rate of four and one-half per cent of such Connecticut
7 taxable income for taxable years commencing on or after January 1,
8 1992, and prior to January 1, 1996.

9 (2) For taxable years commencing on or after January 1, 1996, but
10 prior to January 1, 1997, in accordance with the following schedule:

11 (A) For any person who files a return under the federal income tax
12 for such taxable year as an unmarried individual or as a married

13 individual filing separately:

T1	Connecticut Taxable Income	Rate of Tax
T2	Not over \$2,250	3.0%
T3	Over \$2,250	\$67.50, plus 4.5% of the
T4		excess over \$2,250

14 (B) For any person who files a return under the federal income tax for
15 such taxable year as a head of household, as defined in Section 2(b) of
16 the Internal Revenue Code:

T5	Connecticut Taxable Income	Rate of Tax
T6	Not over \$3,500	3.0%
T7	Over \$3,500	\$105.00, plus 4.5% of the
T8		excess over \$3,500

17 (C) For any husband and wife who file a return under the federal
18 income tax for such taxable year as married individuals filing jointly or
19 a person who files a return under the federal income tax as a surviving
20 spouse, as defined in Section 2(a) of the Internal Revenue Code:

T9	Connecticut Taxable Income	Rate of Tax
T10	Not over \$4,500	3.0%
T11	Over \$4,500	\$135.00, plus 4.5% of the
T12		excess over \$4,500

21 (D) For trusts or estates, the rate of tax shall be 4.5% of their
22 Connecticut taxable income.

23 (3) For taxable years commencing on or after January 1, 1997, but
24 prior to January 1, 1998, in accordance with the following schedule:

25 (A) For any person who files a return under the federal income tax
26 for such taxable year as an unmarried individual or as a married
27 individual filing separately:

T13	Connecticut Taxable Income	Rate of Tax
T14	Not over \$6,250	3.0%
T15	Over \$6,250	\$187.50, plus 4.5% of the
T16		excess over \$6,250

28 (B) For any person who files a return under the federal income tax for
29 such taxable year as a head of household, as defined in Section 2(b) of
30 the Internal Revenue Code:

T17	Connecticut Taxable Income	Rate of Tax
T18	Not over \$10,000	3.0%
T19	Over \$10,000	\$300.00, plus 4.5% of the
T20		excess over \$10,000

31 (C) For any husband and wife who file a return under the federal
32 income tax for such taxable year as married individuals filing jointly or
33 any person who files a return under the federal income tax for such
34 taxable year as a surviving spouse, as defined in Section 2(a) of the
35 Internal Revenue Code:

T21	Connecticut Taxable Income	Rate of Tax
T22	Not over \$12,500	3.0%
T23	Over \$12,500	\$375.00, plus 4.5% of the
T24		excess over \$12,500

36 (D) For trusts or estates, the rate of tax shall be 4.5% of their
37 Connecticut taxable income.

38 (4) For taxable years commencing on or after January 1, 1998, but
39 prior to January 1, 1999, in accordance with the following schedule:

40 (A) For any person who files a return under the federal income tax
41 for such taxable year as an unmarried individual or as a married
42 individual filing separately:

T25	Connecticut Taxable Income	Rate of Tax
T26	Not over \$7,500	3.0%
T27	Over \$7,500	\$225.00, plus 4.5% of the
T28		excess over \$7,500

43 (B) For any person who files a return under the federal income tax for
44 such taxable year as a head of household, as defined in Section 2(b) of
45 the Internal Revenue Code:

T29	Connecticut Taxable Income	Rate of Tax
T30	Not over \$12,000	3.0%
T31	Over \$12,000	\$360.00, plus 4.5% of the
T32		excess over \$12,000

46 (C) For any husband and wife who file a return under the federal
47 income tax for such taxable year as married individuals filing jointly or
48 any person who files a return under the federal income tax for such
49 taxable year as a surviving spouse, as defined in Section 2(a) of the
50 Internal Revenue Code:

T33	Connecticut Taxable Income	Rate of Tax
T34	Not over \$15,000	3.0%
T35	Over \$15,000	\$450.00, plus 4.5% of the
T36		excess over \$15,000

51 (D) For trusts or estates, the rate of tax shall be 4.5% of their
52 Connecticut taxable income.

53 (5) For taxable years commencing on or after January 1, 1999, but
54 prior to January 1, 2003, in accordance with the following schedule:

55 (A) For any person who files a return under the federal income tax
56 for such taxable year as an unmarried individual or as a married
57 individual filing separately:

T37	Connecticut Taxable Income	Rate of Tax
T38	Not over \$10,000	3.0%
T39	Over \$10,000	\$300.00, plus 4.5% of the
T40		excess over \$10,000

58 (B) For any person who files a return under the federal income tax for
59 such taxable year as a head of household, as defined in Section 2(b) of
60 the Internal Revenue Code:

T41	Connecticut Taxable Income	Rate of Tax
T42	Not over \$16,000	3.0%
T43	Over \$16,000	\$480.00, plus 4.5% of the
T44		excess over \$16,000

61 (C) For any husband and wife who file a return under the federal
62 income tax for such taxable year as married individuals filing jointly or
63 any person who files a return under the federal income tax for such
64 taxable year as a surviving spouse, as defined in Section 2(a) of the
65 Internal Revenue Code:

T45	Connecticut Taxable Income	Rate of Tax
T46	Not over \$20,000	3.0%
T47	Over \$20,000	\$600.00, plus 4.5% of the

T48 excess over \$20,000

66 (D) For trusts or estates, the rate of tax shall be 4.5% of their
67 Connecticut taxable income.

68 (6) For taxable years commencing on or after January 1, 2003, but
69 prior to January 1, 2009, in accordance with the following schedule:

70 (A) For any person who files a return under the federal income tax
71 for such taxable year as an unmarried individual or as a married
72 individual filing separately:

T49	Connecticut Taxable Income	Rate of Tax
T50	Not over \$10,000	3.0%
T51	Over \$10,000	\$300.00, plus 5.0% of the
T52		excess over \$10,000

73 (B) For any person who files a return under the federal income tax for
74 such taxable year as a head of household, as defined in Section 2(b) of
75 the Internal Revenue Code:

T53	Connecticut Taxable Income	Rate of Tax
T54	Not over \$16,000	3.0%
T55	Over \$16,000	\$480.00, plus 5.0% of the
T56		excess over \$16,000

76 (C) For any husband and wife who file a return under the federal
77 income tax for such taxable year as married individuals filing jointly or
78 any person who files a return under the federal income tax for such
79 taxable year as a surviving spouse, as defined in Section 2(a) of the
80 Internal Revenue Code:

T57	Connecticut Taxable Income	Rate of Tax
T58	Not over \$20,000	3.0%
T59	Over \$20,000	\$600.00, plus 5.0% of the
T60		excess over \$20,000

81 (D) For trusts or estates, the rate of tax shall be 5.0% of the
82 Connecticut taxable income.

83 (7) For taxable years commencing on or after January 1, 2009, but
84 prior to January 1, 2011, in accordance with the following schedule:

85 (A) For any person who files a return under the federal income tax
86 for such taxable year as an unmarried individual:

T61	Connecticut Taxable Income	Rate of Tax
T62	Not over \$10,000	3.0%
T63	Over \$10,000 but not	\$300.00, plus 5.0% of the
T64	over \$500,000	excess over \$10,000
T65	Over \$500,000	\$24,800, plus 6.5% of the
T66		excess over \$500,000

87 (B) For any person who files a return under the federal income tax for
88 such taxable year as a head of household, as defined in Section 2(b) of
89 the Internal Revenue Code:

T67	Connecticut Taxable Income	Rate of Tax
T68	Not over \$16,000	3.0%
T69	Over \$16,000 but not	\$480.00, plus 5.0% of the
T70	over \$800,000	excess over \$16,000
T71	Over \$800,000	\$39,680, plus 6.5% of the
T72		excess over \$800,000

90 (C) For any husband and wife who file a return under the federal
91 income tax for such taxable year as married individuals filing jointly or
92 any person who files a return under the federal income tax for such
93 taxable year as a surviving spouse, as defined in Section 2(a) of the
94 Internal Revenue Code:

T73	Connecticut Taxable Income	Rate of Tax
T74	Not over \$20,000	3.0%
T75	Over \$20,000 but not	\$600.00, plus 5.0% of the
T76	over \$1,000,000	excess over \$20,000
T77	Over \$1,000,000	\$49,600, plus 6.5% of the
T78		excess over \$1,000,000

95 (D) For any person who files a return under the federal income tax
96 for such taxable year as a married individual filing separately:

T79	Connecticut Taxable Income	Rate of Tax
T80	Not over \$10,000	3.0%
T81	Over \$10,000 but not	\$300.00, plus 5.0% of the
T82	over \$500,000	excess over \$10,000
T83	Over \$500,000	\$24,800, plus 6.5% of the
T84		excess over \$500,000

97 (E) For trusts or estates, the rate of tax shall be 6.5% of the Connecticut
98 taxable income.

99 (8) For taxable years commencing on or after January 1, 2011, but
100 prior to January 1, 2015, in accordance with the following schedule:

101 (A) (i) For any person who files a return under the federal income tax
102 for such taxable year as an unmarried individual:

T85	Connecticut Taxable Income	Rate of Tax
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T86	Not over \$10,000	3.0%
T87	Over \$10,000 but not	\$300.00, plus 5.0% of the
T88	over \$50,000	excess over \$10,000
T89	Over \$50,000 but not	\$2,300, plus 5.5% of the
T90	over \$100,000	excess over \$50,000
T91	Over \$100,000 but not	\$5,050, plus 6.0% of the
T92	over \$200,000	excess over \$100,000
T93	Over \$200,000 but not	\$11,050, plus 6.5% of the
T94	over \$250,000	excess over \$200,000
T95	Over \$250,000	\$14,300, plus 6.70% of the
T96		excess over \$250,000

103 (ii) Notwithstanding the provisions of subparagraph (A)(i) of this
 104 subdivision, for each taxpayer whose Connecticut adjusted gross
 105 income exceeds fifty-six thousand five hundred dollars, the amount of
 106 the taxpayer's Connecticut taxable income to which the three-per-cent
 107 tax rate applies shall be reduced by one thousand dollars for each five
 108 thousand dollars, or fraction thereof, by which the taxpayer's
 109 Connecticut adjusted gross income exceeds said amount. Any such
 110 amount of Connecticut taxable income to which, as provided in the
 111 preceding sentence, the three-per-cent tax rate does not apply shall be
 112 an amount to which the five-per-cent tax rate shall apply.

113 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 114 two hundred thousand dollars shall pay, in addition to the tax
 115 computed under the provisions of subparagraphs (A)(i) and (A)(ii) of
 116 this subdivision, an amount equal to seventy-five dollars for each five
 117 thousand dollars, or fraction thereof, by which the taxpayer's
 118 Connecticut adjusted gross income exceeds two hundred thousand
 119 dollars, up to a maximum payment of two thousand two hundred fifty
 120 dollars.

121 (B) (i) For any person who files a return under the federal income tax
 122 for such taxable year as a head of household, as defined in Section 2(b)

123 of the Internal Revenue Code:

T97	Connecticut Taxable Income	Rate of Tax
T98	Not over \$16,000	3.0%
T99	Over \$16,000 but not	\$480.00, plus 5.0% of the
T100	over \$80,000	excess over \$16,000
T101	Over \$80,000 but not	\$3,680, plus 5.5% of the
T102	over \$160,000	excess over \$80,000
T103	Over \$160,000 but not	\$8,080, plus 6.0% of the
T104	over \$320,000	excess over \$160,000
T105	Over \$320,000 but not	\$17,680, plus 6.5% of the
T106	over \$400,000	excess over \$320,000
T107	Over \$400,000	\$22,880, plus 6.70% of the
T108		excess over \$400,000

124 (ii) Notwithstanding the provisions of subparagraph (B)(i) of this
 125 subdivision, for each taxpayer whose Connecticut adjusted gross
 126 income exceeds seventy-eight thousand five hundred dollars, the
 127 amount of the taxpayer's Connecticut taxable income to which the three-
 128 per-cent tax rate applies shall be reduced by one thousand six hundred
 129 dollars for each four thousand dollars, or fraction thereof, by which the
 130 taxpayer's Connecticut adjusted gross income exceeds said amount.
 131 Any such amount of Connecticut taxable income to which, as provided
 132 in the preceding sentence, the three-per-cent tax rate does not apply
 133 shall be an amount to which the five-per-cent tax rate shall apply.

134 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 135 three hundred twenty thousand dollars shall pay, in addition to the tax
 136 computed under the provisions of subparagraphs (B)(i) and (B)(ii) of
 137 this subdivision, an amount equal to one hundred twenty dollars for
 138 each eight thousand dollars, or fraction thereof, by which the taxpayer's
 139 Connecticut adjusted gross income exceeds three hundred twenty
 140 thousand dollars, up to a maximum payment of three thousand six
 141 hundred dollars.

142 (C) (i) For any husband and wife who file a return under the federal
 143 income tax for such taxable year as married individuals filing jointly or
 144 any person who files a return under the federal income tax for such
 145 taxable year as a surviving spouse, as defined in Section 2(a) of the
 146 Internal Revenue Code:

T109	Connecticut Taxable Income	Rate of Tax
T110	Not over \$20,000	3.0%
T111	Over \$20,000 but not	\$600.00, plus 5.0% of the
T112	over \$100,000	excess over \$20,000
T113	Over \$100,000 but not	\$4,600, plus 5.5% of the
T114	over \$200,000	excess over \$100,000
T115	Over \$200,000 but not	\$10,100, plus 6.0% of the
T116	over \$400,000	excess over \$200,000
T117	Over \$400,000 but not	\$22,100, plus 6.5% of the
T118	over \$500,000	excess over \$400,000
T119	Over \$500,000	\$28,600, plus 6.70% of the
T120		excess over \$500,000

147 (ii) Notwithstanding the provisions of subparagraph (C)(i) of this
 148 subdivision, for each taxpayer whose Connecticut adjusted gross
 149 income exceeds one hundred thousand five hundred dollars, the
 150 amount of the taxpayer's Connecticut taxable income to which the three-
 151 per-cent tax rate applies shall be reduced by two thousand dollars for
 152 each five thousand dollars, or fraction thereof, by which the taxpayer's
 153 Connecticut adjusted gross income exceeds said amount. Any such
 154 amount of Connecticut taxable income to which, as provided in the
 155 preceding sentence, the three-per-cent tax rate does not apply shall be
 156 an amount to which the five-per-cent tax rate shall apply.

157 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 158 four hundred thousand dollars shall pay, in addition to the tax
 159 computed under the provisions of subparagraphs (C)(i) and (C)(ii) of

160 this subdivision, an amount equal to one hundred fifty dollars for each
 161 ten thousand dollars, or fraction thereof, by which the taxpayer's
 162 Connecticut adjusted gross income exceeds four hundred thousand
 163 dollars, up to a maximum payment of four thousand five hundred
 164 dollars.

165 (D) (i) For any person who files a return under the federal income tax
 166 for such taxable year as a married individual filing separately:

T121	Connecticut Taxable Income	Rate of Tax
T122	Not over \$10,000	3.0%
T123	Over \$10,000 but not	\$300.00, plus 5.0% of the
T124	over \$50,000	excess over \$10,000
T125	Over \$50,000 but not	\$2,300, plus 5.5% of the
T126	over \$100,000	excess over \$50,000
T127	Over \$100,000 but not	\$5,050, plus 6.0% of the
T128	over \$200,000	excess over \$100,000
T129	Over \$200,000 but not	\$11,050, plus 6.5% of the
T130	over \$250,000	excess over \$200,000
T131	Over \$250,000	\$14,300, plus 6.70% of the
T132		excess over \$250,000

167 (ii) Notwithstanding the provisions of subparagraph (D)(i) of this
 168 subdivision, for each taxpayer whose Connecticut adjusted gross
 169 income exceeds fifty thousand two hundred fifty dollars, the amount of
 170 the taxpayer's Connecticut taxable income to which the three-per-cent
 171 tax rate applies shall be reduced by one thousand dollars for each two
 172 thousand five hundred dollars, or fraction thereof, by which the
 173 taxpayer's Connecticut adjusted gross income exceeds said amount.
 174 Any such amount of Connecticut taxable income to which, as provided
 175 in the preceding sentence, the three-per-cent tax rate does not apply
 176 shall be an amount to which the five-per-cent tax rate shall apply.

177 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 178 two hundred thousand dollars shall pay, in addition to the tax
 179 computed under the provisions of subparagraphs (D)(i) and (D)(ii) of
 180 this subdivision, an amount equal to seventy-five dollars for each five
 181 thousand dollars, or fraction thereof, by which the taxpayer's
 182 Connecticut adjusted gross income exceeds two hundred thousand
 183 dollars, up to a maximum payment of two thousand two hundred fifty
 184 dollars.

185 (E) For trusts or estates, the rate of tax shall be 6.70% of the
 186 Connecticut taxable income.

187 (9) For taxable years commencing on or after January 1, 2015, but
 188 prior to January 1, 2024, in accordance with the following schedule:

189 (A) (i) For any person who files a return under the federal income tax
 190 for such taxable year as an unmarried individual:

T133	Connecticut Taxable Income	Rate of Tax
T134	Not over \$10,000	3.0%
T135	Over \$10,000 but not	\$300.00, plus 5.0% of the
T136	over \$50,000	excess over \$10,000
T137	Over \$50,000 but not	\$2,300, plus 5.5% of the
T138	over \$100,000	excess over \$50,000
T139	Over \$100,000 but not	\$5,050, plus 6.0% of the
T140	over \$200,000	excess over \$100,000
T141	Over \$200,000 but not	\$11,050, plus 6.5% of the
T142	over \$250,000	excess over \$200,000
T143	Over \$250,000 but not	\$14,300, plus 6.9% of the
T144	over \$500,000	excess over \$250,000
T145	Over \$500,000	\$31,550, plus 6.99% of the
T146		excess over \$500,000

191 (ii) Notwithstanding the provisions of subparagraph (A)(i) of this

subdivision, for each taxpayer whose Connecticut adjusted gross income exceeds fifty-six thousand five hundred dollars, the amount of the taxpayer's Connecticut taxable income to which the three-per-cent tax rate applies shall be reduced by one thousand dollars for each five thousand dollars, or fraction thereof, by which the taxpayer's Connecticut adjusted gross income exceeds said amount. Any such amount of Connecticut taxable income to which, as provided in the preceding sentence, the three-per-cent tax rate does not apply shall be an amount to which the five-per-cent tax rate shall apply.

(iii) Each taxpayer whose Connecticut adjusted gross income exceeds two hundred thousand dollars shall pay, in addition to the tax computed under the provisions of subparagraphs (A)(i) and (A)(ii) of this subdivision, an amount equal to ninety dollars for each five thousand dollars, or fraction thereof, by which the taxpayer's Connecticut adjusted gross income exceeds two hundred thousand dollars, up to a maximum payment of two thousand seven hundred dollars.

(iv) Each taxpayer whose Connecticut adjusted gross income exceeds five hundred thousand dollars shall pay, in addition to the tax computed under the provisions of subparagraphs (A)(i), (A)(ii) and (A)(iii) of this subdivision, an amount equal to fifty dollars for each five thousand dollars, or fraction thereof, by which the taxpayer's Connecticut adjusted gross income exceeds five hundred thousand dollars, up to a maximum payment of four hundred fifty dollars.

(B) (i) For any person who files a return under the federal income tax for such taxable year as a head of household, as defined in Section 2(b) of the Internal Revenue Code:

	Connecticut Taxable Income	Rate of Tax
T147		
T148	Not over \$16,000	3.0%
T149	Over \$16,000 but not	\$480.00, plus 5.0% of the
T150	over \$80,000	excess over \$16,000

T151	Over \$80,000 but not	\$3,680, plus 5.5% of the
T152	over \$160,000	excess over \$80,000
T153	Over \$160,000 but not	\$8,080, plus 6.0% of the
T154	over \$320,000	excess over \$160,000
T155	Over \$320,000 but not	\$17,680, plus 6.5% of the
T156	over \$400,000	excess over \$320,000
T157	Over \$400,000 but not	\$22,880, plus 6.9% of the
T158	over \$800,000	excess over \$400,000
T159	Over \$800,000	\$50,480, plus 6.99% of the
T160		excess over \$800,000

219 (ii) Notwithstanding the provisions of subparagraph (B)(i) of this
220 subdivision, for each taxpayer whose Connecticut adjusted gross
221 income exceeds seventy-eight thousand five hundred dollars, the
222 amount of the taxpayer's Connecticut taxable income to which the three-
223 per-cent tax rate applies shall be reduced by one thousand six hundred
224 dollars for each four thousand dollars, or fraction thereof, by which the
225 taxpayer's Connecticut adjusted gross income exceeds said amount.
226 Any such amount of Connecticut taxable income to which, as provided
227 in the preceding sentence, the three-per-cent tax rate does not apply
228 shall be an amount to which the five-per-cent tax rate shall apply.

229 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
230 three hundred twenty thousand dollars shall pay, in addition to the tax
231 computed under the provisions of subparagraphs (B)(i) and (B)(ii) of
232 this subdivision, an amount equal to one hundred forty dollars for each
233 eight thousand dollars, or fraction thereof, by which the taxpayer's
234 Connecticut adjusted gross income exceeds three hundred twenty
235 thousand dollars, up to a maximum payment of four thousand two
236 hundred dollars.

237 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
238 eight hundred thousand dollars shall pay, in addition to the tax
239 computed under the provisions of subparagraphs (B)(i), (B)(ii) and

240 (B)(iii) of this subdivision, an amount equal to eighty dollars for each
 241 eight thousand dollars, or fraction thereof, by which the taxpayer's
 242 Connecticut adjusted gross income exceeds eight hundred thousand
 243 dollars, up to a maximum payment of seven hundred twenty dollars.

244 (C) (i) For any husband and wife who file a return under the federal
 245 income tax for such taxable year as married individuals filing jointly or
 246 any person who files a return under the federal income tax for such
 247 taxable year as a surviving spouse, as defined in Section 2(a) of the
 248 Internal Revenue Code:

T161	Connecticut Taxable Income	Rate of Tax
T162	Not over \$20,000	3.0%
T163	Over \$20,000 but not	\$600.00, plus 5.0% of the
T164	over \$100,000	excess over \$20,000
T165	Over \$100,000 but not	\$4,600, plus 5.5% of the
T166	over \$200,000	excess over \$100,000
T167	Over \$200,000 but not	\$10,100, plus 6.0% of the
T168	over \$400,000	excess over \$200,000
T169	Over \$400,000 but not	\$22,100, plus 6.5% of the
T170	over \$500,000	excess over \$400,000
T171	Over \$500,000 but not	\$28,600, plus 6.9% of the
T172	over \$1,000,000	excess over \$500,000
T173	Over \$1,000,000	\$63,100, plus 6.99% of the
T174		excess over \$1,000,000

249 (ii) Notwithstanding the provisions of subparagraph (C)(i) of this
 250 subdivision, for each taxpayer whose Connecticut adjusted gross
 251 income exceeds one hundred thousand five hundred dollars, the
 252 amount of the taxpayer's Connecticut taxable income to which the three-
 253 per-cent tax rate applies shall be reduced by two thousand dollars for
 254 each five thousand dollars, or fraction thereof, by which the taxpayer's
 255 Connecticut adjusted gross income exceeds said amount. Any such

256 amount of Connecticut taxable income to which, as provided in the
257 preceding sentence, the three-per-cent tax rate does not apply shall be
258 an amount to which the five-per-cent tax rate shall apply.

259 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
260 four hundred thousand dollars shall pay, in addition to the tax
261 computed under the provisions of subparagraphs (C)(i) and (C)(ii) of
262 this subdivision, an amount equal to one hundred eighty dollars for
263 each ten thousand dollars, or fraction thereof, by which the taxpayer's
264 Connecticut adjusted gross income exceeds four hundred thousand
265 dollars, up to a maximum payment of five thousand four hundred
266 dollars.

267 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
268 one million dollars shall pay, in addition to the tax computed under the
269 provisions of subparagraphs (C)(i), (C)(ii) and (C)(iii) of this
270 subdivision, an amount equal to one hundred dollars for each ten
271 thousand dollars, or fraction thereof, by which the taxpayer's
272 Connecticut adjusted gross income exceeds one million dollars, up to a
273 maximum payment of nine hundred dollars.

274 (D) (i) For any person who files a return under the federal income tax
275 for such taxable year as a married individual filing separately:

T175	Connecticut Taxable Income	Rate of Tax
T176	Not over \$10,000	3.0%
T177	Over \$10,000 but not	\$300.00, plus 5.0% of the
T178	over \$50,000	excess over \$10,000
T179	Over \$50,000 but not	\$2,300, plus 5.5% of the
T180	over \$100,000	excess over \$50,000
T181	Over \$100,000 but not	\$5,050, plus 6.0% of the
T182	over \$200,000	excess over \$100,000
T183	Over \$200,000 but not	\$11,050, plus 6.5% of the
T184	over \$250,000	excess over \$200,000

T185	Over \$250,000 but not	\$14,300, plus 6.9% of the
T186	over \$500,000	excess over \$250,000
T187	Over \$500,000	\$31,550, plus 6.99% of the
T188		excess over \$500,000

276 (ii) Notwithstanding the provisions of subparagraph (D)(i) of this
277 subdivision, for each taxpayer whose Connecticut adjusted gross
278 income exceeds fifty thousand two hundred fifty dollars, the amount of
279 the taxpayer's Connecticut taxable income to which the three-per-cent
280 tax rate applies shall be reduced by one thousand dollars for each two
281 thousand five hundred dollars, or fraction thereof, by which the
282 taxpayer's Connecticut adjusted gross income exceeds said amount.
283 Any such amount of Connecticut taxable income to which, as provided
284 in the preceding sentence, the three-per-cent tax rate does not apply
285 shall be an amount to which the five-per-cent tax rate shall apply.

286 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
287 two hundred thousand dollars shall pay, in addition to the tax
288 computed under the provisions of subparagraphs (D)(i) and (D)(ii) of
289 this subdivision, an amount equal to ninety dollars for each five
290 thousand dollars, or fraction thereof, by which the taxpayer's
291 Connecticut adjusted gross income exceeds two hundred thousand
292 dollars, up to a maximum payment of two thousand seven hundred
293 dollars.

294 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
295 five hundred thousand dollars shall pay, in addition to the tax
296 computed under the provisions of subparagraphs (D)(i), (D)(ii) and
297 (D)(iii) of this subdivision, an amount equal to fifty dollars for each five
298 thousand dollars, or fraction thereof, by which the taxpayer's
299 Connecticut adjusted gross income exceeds five hundred thousand
300 dollars, up to a maximum payment of four hundred fifty dollars.

301 (E) For trusts or estates, the rate of tax shall be 6.99% of the

302 Connecticut taxable income.

303 (10) For taxable years commencing on or after January 1, 2024, in
 304 accordance with the following schedule and, for taxable years
 305 commencing on or after January 1, 2028, subject to the provisions of
 306 subdivision (11) of this subsection:

307 (A) (i) For any person who files a return under the federal income tax
 308 for such taxable year as an unmarried individual:

T189	Connecticut Taxable Income	Rate of Tax
T190	Not over \$10,000	2.0%
T191	Over \$10,000 but not	\$200.00, plus 4.5% of the
T192	over \$50,000	excess over \$10,000
T193	Over \$50,000 but not	\$2,000, plus 5.5% of the
T194	over \$100,000	excess over \$50,000
T195	Over \$100,000 but not	\$4,750, plus 6.0% of the
T196	over \$200,000	excess over \$100,000
T197	Over \$200,000 but not	\$10,750, plus 6.5% of the
T198	over \$250,000	excess over \$200,000
T199	Over \$250,000 but not	\$14,000, plus 6.9% of the
T200	over \$500,000	excess over \$250,000
T201	Over \$500,000	\$31,250, plus 6.99% of the
T202		excess over \$500,000

309 (ii) Notwithstanding the provisions of subparagraph (A)(i) of this
 310 subdivision, for each taxpayer whose Connecticut adjusted gross
 311 income exceeds fifty-six thousand five hundred dollars, the amount of
 312 the taxpayer's Connecticut taxable income to which the two-per-cent tax
 313 rate applies shall be reduced by one thousand dollars for each five
 314 thousand dollars, or fraction thereof, by which the taxpayer's
 315 Connecticut adjusted gross income exceeds said amount. Any such
 316 amount of Connecticut taxable income to which, as provided in the
 317 preceding sentence, the two-per-cent tax rate does not apply shall be an

318 amount to which the four-and-one-half-per-cent tax rate shall apply.

319 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 320 one hundred five thousand dollars shall pay, in addition to the tax
 321 computed under the provisions of subparagraphs (A)(i) and (A)(ii) of
 322 this subdivision, an amount equal to twenty-five dollars for each five
 323 thousand dollars, or fraction thereof, by which the taxpayer's
 324 Connecticut adjusted gross income exceeds one hundred five thousand
 325 dollars, up to a maximum payment of two hundred fifty dollars.

326 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
 327 two hundred thousand dollars shall pay, in addition to the tax
 328 computed under the provisions of subparagraphs (A)(i), (A)(ii) and
 329 (A)(iii) of this subdivision, an amount equal to ninety dollars for each
 330 five thousand dollars, or fraction thereof, by which the taxpayer's
 331 Connecticut adjusted gross income exceeds two hundred thousand
 332 dollars, up to a maximum payment of two thousand seven hundred
 333 dollars.

334 (v) Each taxpayer whose Connecticut adjusted gross income exceeds
 335 five hundred thousand dollars shall pay, in addition to the tax
 336 computed under the provisions of subparagraphs (A)(i), (A)(ii), (A)(iii)
 337 and (A)(iv) of this subdivision, an amount equal to fifty dollars for each
 338 five thousand dollars, or fraction thereof, by which the taxpayer's
 339 Connecticut adjusted gross income exceeds five hundred thousand
 340 dollars, up to a maximum payment of four hundred fifty dollars.

341 (B) (i) For any person who files a return under the federal income tax
 342 for such taxable year as a head of household, as defined in Section 2(b)
 343 of the Internal Revenue Code:

T203	Connecticut Taxable Income	Rate of Tax
T204	Not over \$16,000	2.0%
T205	Over \$16,000 but not	\$320.00, plus 4.5% of the
T206	over \$80,000	excess over \$16,000

T207	Over \$80,000 but not	\$3,200, plus 5.5% of the
T208	over \$160,000	excess over \$80,000
T209	Over \$160,000 but not	\$7,600, plus 6.0% of the
T210	over \$320,000	excess over \$160,000
T211	Over \$320,000 but not	\$17,200, plus 6.5% of the
T212	over \$400,000	excess over \$320,000
T213	Over \$400,000 but not	\$22,400, plus 6.9% of the
T214	over \$800,000	excess over \$400,000
T215	Over \$800,000	\$50,000, plus 6.99% of the
T216		excess over \$800,000

344 (ii) Notwithstanding the provisions of subparagraph (B)(i) of this
 345 subdivision, for each taxpayer whose Connecticut adjusted gross
 346 income exceeds seventy-eight thousand five hundred dollars, the
 347 amount of the taxpayer's Connecticut taxable income to which the two-
 348 per-cent tax rate applies shall be reduced by one thousand six hundred
 349 dollars for each four thousand dollars, or fraction thereof, by which the
 350 taxpayer's Connecticut adjusted gross income exceeds said amount.
 351 Any such amount of Connecticut taxable income to which, as provided
 352 in the preceding sentence, the two-per-cent tax rate does not apply shall
 353 be an amount to which the four-and-one-half-per-cent tax rate shall
 354 apply.

355 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
 356 one hundred sixty-eight thousand dollars shall pay, in addition to the
 357 tax computed under the provisions of subparagraphs (B)(i) and (B)(ii) of
 358 this subdivision, an amount equal to forty dollars for each eight
 359 thousand dollars, or fraction thereof, by which the taxpayer's
 360 Connecticut adjusted gross income exceeds one hundred sixty-eight
 361 thousand dollars, up to a maximum payment of four hundred dollars.

362 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
 363 three hundred twenty thousand dollars shall pay, in addition to the tax
 364 computed under the provisions of subparagraphs (B)(i), (B)(ii) and

365 (B)(iii) of this subdivision, an amount equal to one hundred forty dollars
 366 for each eight thousand dollars, or fraction thereof, by which the
 367 taxpayer's Connecticut adjusted gross income exceeds three hundred
 368 twenty thousand dollars, up to a maximum payment of four thousand
 369 two hundred dollars.

370 (v) Each taxpayer whose Connecticut adjusted gross income exceeds
 371 eight hundred thousand dollars shall pay, in addition to the tax
 372 computed under the provisions of subparagraphs (B)(i), (B)(ii), (B)(iii)
 373 and (B)(iv) of this subdivision, an amount equal to eighty dollars for
 374 each eight thousand dollars, or fraction thereof, by which the taxpayer's
 375 Connecticut adjusted gross income exceeds eight hundred thousand
 376 dollars, up to a maximum payment of seven hundred twenty dollars.

377 (C) (i) For any husband and wife who file a return under the federal
 378 income tax for such taxable year as married individuals filing jointly or
 379 any person who files a return under the federal income tax for such
 380 taxable year as a surviving spouse, as defined in Section 2(a) of the
 381 Internal Revenue Code:

T217	Connecticut Taxable Income	Rate of Tax
T218	Not over \$20,000	2.0%
T219	Over \$20,000 but not	\$400.00, plus 4.5% of the
T220	over \$100,000	excess over \$20,000
T221	Over \$100,000 but not	\$4,000, plus 5.5% of the
T222	over \$200,000	excess over \$100,000
T223	Over \$200,000 but not	\$9,500, plus 6.0% of the
T224	over \$400,000	excess over \$200,000
T225	Over \$400,000 but not	\$21,500, plus 6.5% of the
T226	over \$500,000	excess over \$400,000
T227	Over \$500,000 but not	\$28,000, plus 6.9% of the
T228	over \$1,000,000	excess over \$500,000
T229	Over \$1,000,000	\$62,500, plus 6.99% of the
T230		excess over \$1,000,000

382 (ii) Notwithstanding the provisions of subparagraph (C)(i) of this
383 subdivision, for each taxpayer whose Connecticut adjusted gross
384 income exceeds one hundred thousand five hundred dollars, the
385 amount of the taxpayer's Connecticut taxable income to which the two-
386 per-cent tax rate applies shall be reduced by two thousand dollars for
387 each five thousand dollars, or fraction thereof, by which the taxpayer's
388 Connecticut adjusted gross income exceeds said amount. Any such
389 amount of Connecticut taxable income to which, as provided in the
390 preceding sentence, the two-per-cent tax rate does not apply shall be an
391 amount to which the four-and-one-half-per-cent tax rate shall apply.

392 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
393 two hundred ten thousand dollars shall pay, in addition to the tax
394 computed under the provisions of subparagraphs (C)(i) and (C)(ii) of
395 this subdivision, an amount equal to fifty dollars for each ten thousand
396 dollars, or fraction thereof, by which the taxpayer's Connecticut
397 adjusted gross income exceeds two hundred ten thousand dollars, up to
398 a maximum payment of five hundred dollars.

399 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
400 four hundred thousand dollars shall pay, in addition to the tax
401 computed under the provisions of subparagraphs (C)(i), (C)(ii) and
402 (C)(iii) of this subdivision, an amount equal to one hundred eighty
403 dollars for each ten thousand dollars, or fraction thereof, by which the
404 taxpayer's Connecticut adjusted gross income exceeds four hundred
405 thousand dollars, up to a maximum payment of five thousand four
406 hundred dollars.

407 (v) Each taxpayer whose Connecticut adjusted gross income exceeds
408 one million dollars shall pay, in addition to the tax computed under the
409 provisions of subparagraphs (C)(i), (C)(ii), (C)(iii) and (C)(iv) of this
410 subdivision, an amount equal to one hundred dollars for each ten
411 thousand dollars, or fraction thereof, by which the taxpayer's

412 Connecticut adjusted gross income exceeds one million dollars, up to a
413 maximum payment of nine hundred dollars.

414 (D) (i) For any person who files a return under the federal income tax
415 for such taxable year as a married individual filing separately:

T231	Connecticut Taxable Income	Rate of Tax
T232	Not over \$10,000	2.0%
T233	Over \$10,000 but not	\$200.00, plus 4.5% of the
T234	over \$50,000	excess over \$10,000
T235	Over \$50,000 but not	\$2,000, plus 5.5% of the
T236	over \$100,000	excess over \$50,000
T237	Over \$100,000 but not	\$4,750, plus 6.0% of the
T238	over \$200,000	excess over \$100,000
T239	Over \$200,000 but not	\$10,750, plus 6.5% of the
T240	over \$250,000	excess over \$200,000
T241	Over \$250,000 but not	\$14,000, plus 6.9% of the
T242	over \$500,000	excess over \$250,000
T243	Over \$500,000	\$31,250, plus 6.99% of the
T244		excess over \$500,000

416 (ii) Notwithstanding the provisions of subparagraph (D)(i) of this
417 subdivision, for each taxpayer whose Connecticut adjusted gross
418 income exceeds fifty thousand two hundred fifty dollars, the amount of
419 the taxpayer's Connecticut taxable income to which the two-per-cent tax
420 rate applies shall be reduced by one thousand dollars for each two
421 thousand five hundred dollars, or fraction thereof, by which the
422 taxpayer's Connecticut adjusted gross income exceeds said amount.
423 Any such amount of Connecticut taxable income to which, as provided
424 in the preceding sentence, the two-per-cent tax rate does not apply shall
425 be an amount to which the four-and-one-half-per-cent tax rate shall
426 apply.

427 (iii) Each taxpayer whose Connecticut adjusted gross income exceeds
428 one hundred five thousand dollars shall pay, in addition to the tax
429 computed under the provisions of subparagraphs (D)(i) and (D)(ii) of
430 this subdivision, an amount equal to twenty-five dollars for each five
431 thousand dollars, or fraction thereof, by which the taxpayer's
432 Connecticut adjusted gross income exceeds one hundred five thousand
433 dollars, up to a maximum payment of two hundred fifty dollars.

434 (iv) Each taxpayer whose Connecticut adjusted gross income exceeds
435 two hundred thousand dollars shall pay, in addition to the tax
436 computed under the provisions of subparagraphs (D)(i), (D)(ii) and
437 (D)(iii) of this subdivision, an amount equal to ninety dollars for each
438 five thousand dollars, or fraction thereof, by which the taxpayer's
439 Connecticut adjusted gross income exceeds two hundred thousand
440 dollars, up to a maximum payment of two thousand seven hundred
441 dollars.

442 (v) Each taxpayer whose Connecticut adjusted gross income exceeds
443 five hundred thousand dollars shall pay, in addition to the tax
444 computed under the provisions of subparagraphs (D)(i), (D)(ii), (D)(iii)
445 and (D)(iv) of this subdivision, an amount equal to fifty dollars for each
446 five thousand dollars, or fraction thereof, by which the taxpayer's
447 Connecticut adjusted gross income exceeds five hundred thousand
448 dollars, up to a maximum payment of four hundred fifty dollars.

449 (E) For trusts or estates, the rate of tax shall be 6.99% of the
450 Connecticut taxable income.

451 (11) (A) For taxable years commencing on or after January 1, 2028, but
452 prior to January 1, 2029, the following shall be adjusted by the
453 percentage increase in inflation and rounded to the nearest dollar:

454 (i) The Connecticut taxable income brackets set forth in
455 subparagraphs (A)(i), (B)(i), (C)(i) and (D)(i) of subdivision (10) of this
456 subsection; and

457 (ii) The Connecticut adjusted gross income thresholds set forth in
 458 subparagraphs (A)(ii) to (A)(iv), inclusive, (B)(ii) to (B)(iv), inclusive,
 459 (C)(ii) to (C)(iv), inclusive, and (D)(ii) to (D)(iv), inclusive, of subdivision
 460 (10) of this subsection.

461 (B) For taxable years commencing on or after January 1, 2029, the
 462 income brackets and the income thresholds calculated for the preceding
 463 taxable year shall be adjusted annually by the percentage increase in
 464 inflation and rounded to the nearest dollar.

465 (C) As used in this subdivision, "increase in inflation" means the
 466 increase in the chained consumer price index for all urban consumers
 467 during the preceding year, calculated on an August over August basis,
 468 using data reported by the United States Bureau of Labor Statistics.

469 ~~[(11)]~~ (12) The provisions of this subsection shall apply to resident
 470 trusts and estates and, wherever reference is made in this subsection to
 471 residents of this state, such reference shall be construed to include
 472 resident trusts and estates, provided any reference to a resident's
 473 Connecticut adjusted gross income derived from sources without this
 474 state or to a resident's Connecticut adjusted gross income shall be
 475 construed, in the case of a resident trust or estate, to mean the resident
 476 trust or estate's Connecticut taxable income derived from sources
 477 without this state and the resident trust or estate's Connecticut taxable
 478 income, respectively.

479 Sec. 2. Section 12-702 of the general statutes is repealed and the
 480 following is substituted in lieu thereof (*Effective October 1, 2026*):

481 (a) (1) (A) Any person, other than a trust or estate, subject to the tax
 482 under this chapter for any taxable year who files under the federal
 483 income tax for such taxable year as a married individual filing
 484 separately or, for taxable years commencing prior to January 1, 2000,
 485 who files income tax for such taxable year as an unmarried individual
 486 shall be entitled to a personal exemption of twelve thousand dollars in
 487 determining Connecticut taxable income for purposes of this chapter.

488 (B) In the case of any such taxpayer whose Connecticut adjusted gross
 489 income for the taxable year exceeds twenty-four thousand dollars, the
 490 exemption amount shall be reduced by one thousand dollars for each
 491 one thousand dollars, or fraction thereof, by which the taxpayer's
 492 Connecticut adjusted gross income for the taxable year exceeds said
 493 amount. In no event shall the reduction exceed one hundred per cent of
 494 the exemption.

495 (C) (i) For taxable years commencing on or after January 1, 2028, but
 496 prior to January 1, 2029, the personal exemption amount set forth in
 497 subparagraph (A) of this subdivision and the Connecticut adjusted
 498 gross income threshold set forth in subparagraph (B) of this subdivision
 499 shall be adjusted by the percentage increase in inflation and rounded to
 500 the nearest dollar. In the case of any such taxpayer whose Connecticut
 501 adjusted gross income for the taxable year exceeds the income threshold
 502 as adjusted pursuant to this clause, the exemption amount shall be
 503 reduced by one thousand dollars for each one thousand dollars, or
 504 fraction thereof, by which the taxpayer's Connecticut adjusted gross
 505 income for the taxable year exceeds such income threshold. In no event
 506 shall the reduction exceed one hundred per cent of the exemption.

507 (ii) For taxable years commencing on or after January 1, 2029, the
 508 personal exemption amount and the income threshold calculated for the
 509 preceding taxable year shall be adjusted annually by the percentage
 510 increase in inflation and rounded to the nearest dollar. In the case of any
 511 such taxpayer whose Connecticut adjusted gross income for the taxable
 512 year exceeds the income threshold as adjusted pursuant to this clause,
 513 the exemption amount shall be reduced by one thousand dollars for
 514 each one thousand dollars, or fraction thereof, by which the taxpayer's
 515 Connecticut adjusted gross income for the taxable year exceeds such
 516 income threshold. In no event shall the reduction exceed one hundred
 517 per cent of the exemption.

518 (2) For taxable years commencing on or after January 1, 2000, any
 519 person, other than a trust or estate, subject to the tax under this chapter

520 for any taxable year who files under the federal income tax for such
521 taxable year as an unmarried individual shall be entitled to a personal
522 exemption in determining Connecticut taxable income for purposes of
523 this chapter as follows:

524 (A) For taxable years commencing on or after January 1, 2000, but
525 prior to January 1, 2001, twelve thousand two hundred fifty dollars. In
526 the case of any such taxpayer whose Connecticut adjusted gross income
527 for the taxable year exceeds twenty-four thousand five hundred dollars,
528 the exemption amount shall be reduced by one thousand dollars for
529 each one thousand dollars, or fraction thereof, by which the taxpayer's
530 Connecticut adjusted gross income for the taxable year exceeds said
531 amount. In no event shall the reduction exceed one hundred per cent of
532 the exemption;

533 (B) For taxable years commencing on or after January 1, 2001, but
534 prior to January 1, 2004, twelve thousand five hundred dollars. In the
535 case of any such taxpayer whose Connecticut adjusted gross income for
536 the taxable year exceeds twenty-five thousand dollars, the exemption
537 amount shall be reduced by one thousand dollars for each one thousand
538 dollars, or fraction thereof, by which the taxpayer's Connecticut
539 adjusted gross income for the taxable year exceeds said amount. In no
540 event shall the reduction exceed one hundred per cent of the exemption;

541 (C) For taxable years commencing on or after January 1, 2004, but
542 prior to January 1, 2007, twelve thousand six hundred twenty-five
543 dollars. In the case of any such taxpayer whose Connecticut adjusted
544 gross income for the taxable year exceeds twenty-five thousand two
545 hundred fifty dollars, the exemption amount shall be reduced by one
546 thousand dollars for each one thousand dollars, or fraction thereof, by
547 which the taxpayer's Connecticut adjusted gross income for the taxable
548 year exceeds said amount. In no event shall the reduction exceed one
549 hundred per cent of the exemption;

550 (D) For taxable years commencing on or after January 1, 2007, but

551 prior to January 1, 2008, twelve thousand seven hundred fifty dollars.
552 In the case of any such taxpayer whose Connecticut adjusted gross
553 income for the taxable year exceeds twenty-five thousand five hundred
554 dollars, the exemption amount shall be reduced by one thousand dollars
555 for each one thousand dollars, or fraction thereof, by which the
556 taxpayer's Connecticut adjusted gross income for the taxable year
557 exceeds said amount. In no event shall the reduction exceed one
558 hundred per cent of the exemption;

559 (E) For taxable years commencing on or after January 1, 2008, but
560 prior to January 1, 2012, thirteen thousand dollars. In the case of any
561 such taxpayer whose Connecticut adjusted gross income for the taxable
562 year exceeds twenty-six thousand dollars, the exemption amount shall
563 be reduced by one thousand dollars for each one thousand dollars, or
564 fraction thereof, by which the taxpayer's Connecticut adjusted gross
565 income for the taxable year exceeds said amount. In no event shall the
566 reduction exceed one hundred per cent of the exemption;

567 (F) For taxable years commencing on or after January 1, 2012, but
568 prior to January 1, 2013, thirteen thousand five hundred dollars. In the
569 case of any such taxpayer whose Connecticut adjusted gross income for
570 the taxable year exceeds twenty-seven thousand dollars, the exemption
571 amount shall be reduced by one thousand dollars for each one thousand
572 dollars, or fraction thereof, by which the taxpayer's Connecticut
573 adjusted gross income for the taxable year exceeds said amount. In no
574 event shall the reduction exceed one hundred per cent of the exemption;

575 (G) For taxable years commencing on or after January 1, 2013, but
576 prior to January 1, 2014, fourteen thousand dollars. In the case of any
577 such taxpayer whose Connecticut adjusted gross income for the taxable
578 year exceeds twenty-eight thousand dollars, the exemption amount
579 shall be reduced by one thousand dollars for each one thousand dollars,
580 or fraction thereof, by which the taxpayer's Connecticut adjusted gross
581 income for the taxable year exceeds said amount. In no event shall the
582 reduction exceed one hundred per cent of the exemption;

583 (H) For taxable years commencing on or after January 1, 2014, but
 584 prior to January 1, 2016, fourteen thousand five hundred dollars. In the
 585 case of any such taxpayer whose Connecticut adjusted gross income for
 586 the taxable year exceeds twenty-nine thousand dollars, the exemption
 587 amount shall be reduced by one thousand dollars for each one thousand
 588 dollars, or fraction thereof, by which the taxpayer's Connecticut
 589 adjusted gross income for the taxable year exceeds said amount. In no
 590 event shall the reduction exceed one hundred per cent of the exemption;

591 (I) For taxable years commencing on or after January 1, 2016, but prior
 592 to January 1, 2028, fifteen thousand dollars. In the case of any such
 593 taxpayer whose Connecticut adjusted gross income for the taxable year
 594 exceeds thirty thousand dollars, the exemption amount shall be reduced
 595 by one thousand dollars for each one thousand dollars, or fraction
 596 thereof, by which the taxpayer's Connecticut adjusted gross income for
 597 the taxable year exceeds said amount. In no event shall the reduction
 598 exceed one hundred per cent of the exemption; [.]

599 (J) (i) For taxable years commencing on or after January 1, 2028, but
 600 prior to January 1, 2029, the personal exemption amount and the
 601 Connecticut adjusted gross income threshold set forth in subparagraph
 602 (I) of this subdivision shall be adjusted by the percentage increase in
 603 inflation and rounded to the nearest dollar. In the case of any such
 604 taxpayer whose Connecticut adjusted gross income for the taxable year
 605 exceeds the income threshold as adjusted pursuant to this clause, the
 606 exemption amount shall be reduced by one thousand dollars for each
 607 one thousand dollars, or fraction thereof, by which the taxpayer's
 608 Connecticut adjusted gross income for the taxable year exceeds such
 609 income threshold. In no event shall the reduction exceed one hundred
 610 per cent of the exemption;

611 (ii) For taxable years commencing on or after January 1, 2029, the
 612 personal exemption amount and the income threshold calculated for the
 613 preceding taxable year shall be adjusted annually by the percentage
 614 increase in inflation and rounded to the nearest dollar. In the case of any

615 such taxpayer whose Connecticut adjusted gross income for the taxable
616 year exceeds the income threshold as adjusted pursuant to this clause,
617 the exemption amount shall be reduced by one thousand dollars for
618 each one thousand dollars, or fraction thereof, by which the taxpayer's
619 Connecticut adjusted gross income for the taxable year exceeds such
620 income threshold. In no event shall the reduction exceed one hundred
621 per cent of the exemption.

622 (b) (1) Any person subject to tax under this chapter who files a return
623 under the federal income tax for such taxable year as a head of
624 household, as defined in Section 2(b) of the Internal Revenue Code, shall
625 be entitled to a personal exemption of nineteen thousand dollars in
626 determining Connecticut taxable income for purposes of this chapter.

627 (2) In the case of any such taxpayer whose Connecticut adjusted gross
628 income for the taxable year exceeds thirty-eight thousand dollars, the
629 exemption amount shall be reduced by one thousand dollars for each
630 one thousand dollars, or fraction thereof, by which the taxpayer's
631 Connecticut adjusted gross income for the taxable year exceeds the said
632 amount. In no event shall the reduction exceed one hundred per cent of
633 the exemption.

634 (3) (A) For taxable years commencing on or after January 1, 2028, but
635 prior to January 1, 2029, the personal exemption amount set forth in
636 subdivision (1) of this subsection and the Connecticut adjusted gross
637 income threshold set forth in subdivision (2) of this subsection shall be
638 adjusted by the percentage increase in inflation and rounded to the
639 nearest dollar. In the case of any such taxpayer whose Connecticut
640 adjusted gross income for the taxable year exceeds the income threshold
641 as adjusted pursuant to this subparagraph, the exemption amount shall
642 be reduced by one thousand dollars for each one thousand dollars, or
643 fraction thereof, by which the taxpayer's Connecticut adjusted gross
644 income for the taxable year exceeds such income threshold. In no event
645 shall the reduction exceed one hundred per cent of the exemption.

646 (B) For taxable years commencing on or after January 1, 2029, the
647 personal exemption amount and the income threshold calculated for the
648 preceding taxable year shall be adjusted annually by the percentage
649 increase in inflation and rounded to the nearest dollar. In the case of any
650 such taxpayer whose Connecticut adjusted gross income for the taxable
651 year exceeds the income threshold as adjusted pursuant to this
652 subparagraph, the exemption amount shall be reduced by one thousand
653 dollars for each one thousand dollars, or fraction thereof, by which the
654 taxpayer's Connecticut adjusted gross income for the taxable year
655 exceeds such income threshold. In no event shall the reduction exceed
656 one hundred per cent of the exemption.

657 (c) (1) Any husband and wife subject to tax under this chapter for any
658 taxable year who file a return under the federal income tax for such
659 taxable year as married individuals filing a joint return or any person
660 who files a return for such taxable year as a surviving spouse, as defined
661 in Section 2(a) of the Internal Revenue Code, shall be entitled to a single
662 personal exemption of twenty-four thousand dollars in determining
663 Connecticut taxable income for purposes of this chapter. Any husband
664 and wife who elect to file a joint return under the federal income tax for
665 any taxable year shall be required to file jointly with respect to such
666 taxable year for purposes of this chapter, in which event their tax
667 liability under this chapter shall be joint and several, except as otherwise
668 provided in section 12-702a, and any husband and wife who elect to file
669 separately under the federal income tax for any taxable year shall be
670 required to file separately with respect to such taxable year for purposes
671 of this chapter, provided (A) if either the husband or wife is a resident
672 and the other is a nonresident, separate taxes shall be determined on
673 their separate Connecticut taxable incomes on separate forms as
674 married individuals filing separately unless such husband and wife
675 determine their federal taxable income jointly and both elect to
676 determine their joint Connecticut taxable income as if both were
677 residents, or (B) if any husband and wife, both of whom are
678 nonresidents, elect to file a joint return under the federal income tax for

679 any taxable year and only one of them has income derived from or
680 connected with sources within this state during such taxable year, only
681 the spouse with income derived from or connected with sources within
682 this state shall be required to file a return in this state and, if only the
683 spouse with income derived from or connected with this state files such
684 a return in this state, a separate tax shall be determined on such spouse's
685 separate Connecticut taxable income as a married individual filing
686 separately unless such husband and wife both elect to determine their
687 joint Connecticut taxable income as if both had income derived from or
688 connected with sources within this state.

689 (2) In the case of any such taxpayer whose Connecticut adjusted gross
690 income for the taxable year exceeds forty-eight thousand dollars, the
691 exemption amount shall be reduced by one thousand dollars for each
692 one thousand dollars, or fraction thereof, by which the taxpayer's
693 Connecticut adjusted gross income for the taxable year exceeds the said
694 amount. In no event shall the reduction exceed one hundred per cent of
695 the exemption.

696 (3) (A) For taxable years commencing on or after January 1, 2028, but
697 prior to January 1, 2029, the personal exemption amount set forth in
698 subdivision (1) of this subsection and the Connecticut adjusted gross
699 income threshold set forth in subdivision (2) of this subsection shall be
700 adjusted by the percentage increase in inflation and rounded to the
701 nearest dollar. In the case of any such taxpayer whose Connecticut
702 adjusted gross income for the taxable year exceeds the income threshold
703 as adjusted pursuant to this subparagraph, the exemption amount shall
704 be reduced by one thousand dollars for each one thousand dollars, or
705 fraction thereof, by which the taxpayer's Connecticut adjusted gross
706 income for the taxable year exceeds such income threshold. In no event
707 shall the reduction exceed one hundred per cent of the exemption.

708 (B) For taxable years commencing on or after January 1, 2029, the
709 personal exemption amount and the income threshold calculated for the
710 preceding taxable year shall be adjusted annually by the percentage

711 increase in inflation and rounded to the nearest dollar. In the case of any
712 such taxpayer whose Connecticut adjusted gross income for the taxable
713 year exceeds the income threshold as adjusted pursuant to this
714 subparagraph, the exemption amount shall be reduced by one thousand
715 dollars for each one thousand dollars, or fraction thereof, by which the
716 taxpayer's Connecticut adjusted gross income for the taxable year
717 exceeds such income threshold. In no event shall the reduction exceed
718 one hundred per cent of the exemption.

719 (d) As used in this section, "increase in inflation" has the same
720 meaning as provided in subdivision (11) of subsection (a) of section 12-
721 700, as amended by this act.

This act shall take effect as follows and shall amend the following sections:		
Section 1	October 1, 2026	12-700(a)
Sec. 2	October 1, 2026	12-702

Section 1	October 1, 2026	12-700(a)
Sec. 2	October 1, 2026	12-702

Statement of Purpose:

To require certain personal income tax thresholds and exemption amounts to be indexed to inflation.

[Proposed deletions are enclosed in brackets. Proposed additions are indicated by underline, except that when the entire text of a bill or resolution or a section of a bill or resolution is new, it is not underlined.]